INSURANCE AND PENSIONS COMMISSION

SHORT TERM INSURERS AND REINSURERS

MARKET STATISTICS FOR 2011, FIRST QUARTER

Contents

1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return On Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
Q1	–	First Quarter
IPEC/Commission	–	Insurance and Pensions Commission
MRC	–	Minimum Required Capital

NOTE: All figures are in United States Dollars

2. Executive Summary

Over the last 12 months from up to the first quarter 2011, the short term insurance market contracted in size. The number of registered direct insurers fell from 32 to 28 and reinsurers from 10 to 8 as a result of some players who were deregistered for failure to meet required minimum capital levels.

The industry recorded growth in terms of other performance indicators. There was a 30% growth in direct insurers' GWP from $37 million to $47 million when 2010 first quarter performance is compared to the period under review. The business written by direct insurers during first quarter of 2011 was 42% of that written in the entire of 2010. The recorded growth in the direct insurers business and a reduction in their average retention rate is not consistent with GWP for reinsurers which remained unchanged at $18.90 million. This discrepancy is subject to further investigation by the Commission.

Motor, fire and miscellaneous accident insurance continued to be the dominant classes of business, which accounted for more than two thirds of the business written by both direct insurers and reinsurance in the period under review.

There was significant improvement in profitability in the industry. Direct insurers posted a $5.19 million profit before tax for the period ending 31 March 2011, which was a 78% increase from $2.91 million earned in the same quarter of the previous year. Over the same period reinsurers' total profit before tax improved by 240% from $1.39 million to $4.73 million. The improvement in performance is attributable to cost containment and lower incurred claims as compared to the same quarter of the previous year.

The recorded profits coupled with capital injections resulted in increased capitalization levels in the industry. As at 31 March 2011 direct insurers were capitalized to the tune of $42.8 million and while reinsurers recorded $55.26 million. This was 17% and 6.3% increase in direct insurers and reinsurers shareholders equity from the previous quarter.

However, there were two direct insurers and one reinsurer whose capital levels were below the required minimum. The Commission plans to conduct capital verification exercise across industry during the course of the third quarter of 2011.

Though asset base of both insurers and reinsurers grew by 27% and 10% from the previous quarter to $113.2 million and 87.8 million, this asset base remained predominantly skewed towards non-current assets. This inherently heightens liquidity risk, thus generally constraining the ability of the insurers to timeously meet their obligations as they fall due.

The short term industry remained highly concentrated, one third of the players controlled at least 70% of the market in terms of capitalization, total assets and GWP for the period under review.

The Commission is currently investigating the affairs of AFRE insurance subsidiaries and Export Credit Guarantee Company to determine among other things, the level of their financial soundness.

Structure of the Report

This report is divided into two sections. Section A gives the financial performance of the short-term insurers. Section B covers the financial performance of reinsurers.

SECTION A

3. Short-Term Insurance Companies

3.1. Performance Overview of Short-Term Insurers

There were 28 registered short term direct insurers in the first quarter of 2011, as compared to the 32 which were in existence during the same period in 2010. The fall in numbers resulted from deregistration of 5 insurers who failed to meet the minimum capital requirement of $300 000 by the set deadline of 30 June 2010. There was one new entrant into the market.

The statistics contained herein refers to 24 active players with the other 4 insurers yet to operate as was the case in the previous quarter report. The year began on a strong note, with GWP of $49 million, a 30% growth compared to $37 million written in the same quarter of the previous year. The business written during the first quarter is 42% of the total business written in 2010. It should be noted that 2010 first quarter figures included business written for operations outside Zimbabwe which impairs objective comparison.

There was a significant improvement in profit before tax of 78%, from 2010 first quarter result of $2.91 million as compared to the $5.19 million recorded during the period under review.

Table 1: Performance Indicators

	Q1 2011	Q1 2010	Yearly % Change	Q4 2010
Gross Premium Written	49,424	37,977	30.14%	117,314
Net Premium Written	22,481	18,790	19.64%	64,076
Net Earned Premium	19,001	14,592	30.22%	56,963
Net Claims Incurred	8,183	4,551	79.80%	21,734
Net Commission Incurred	831	5,566	-85.07%	5,026
Management Expenses	7,166	6,392	12.11%	30,013
Underwriting Profit	3,338	3,160	5.64%	-5,363
Investment Income	494	101	389.11%	1,826
Profit Before Tax	5,192	2,914	78.17%	-2,206

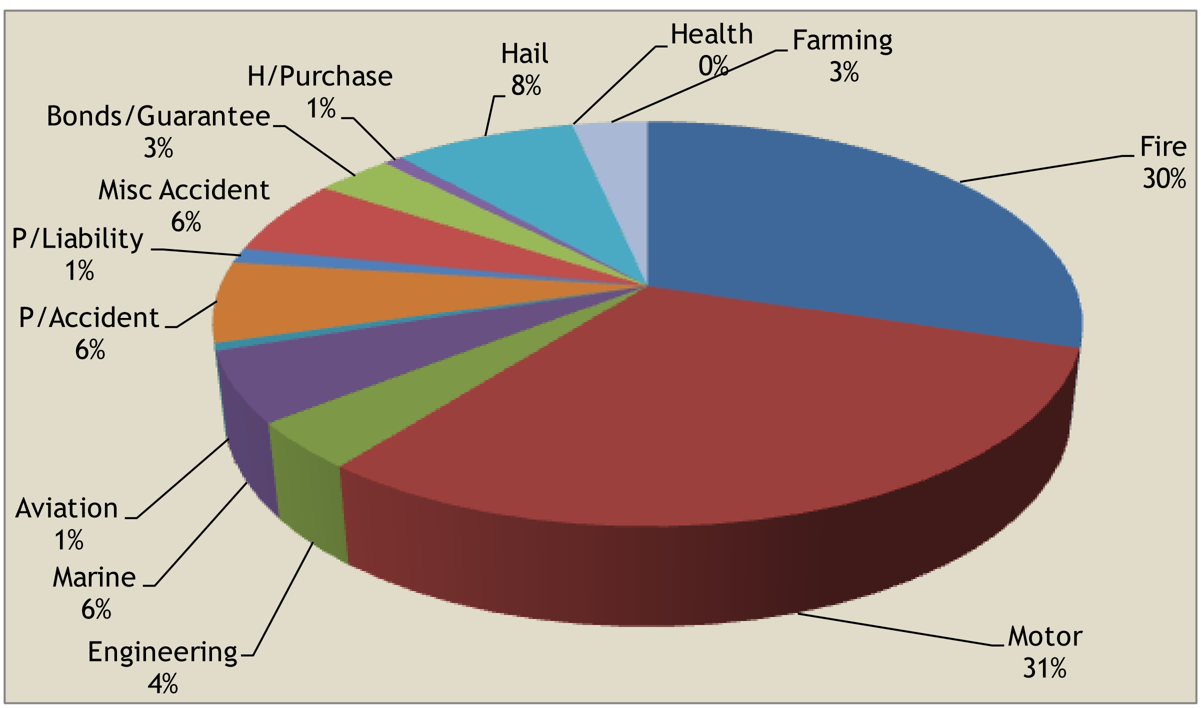
Table 2: Gross Written Premiums by Class of Business

Contribution by Class	Q1: 2011	Q1:2010	Yearly % Change	Q4: 2010
Fire	14,855,691	11,875,217	25.10%	28,985,846
Motor	15,223,509	11,464,456	32.79%	44,261,741
Engineering	1,894,247	3,106,184	-39.02%	6,262,865
Marine	2,771,862	792,575	249.73%	3,269,597
Aviation	290,596	29,700	878.44%	3,756,661
P/Accident	3,211,375	2,084,752	54.04%	8,950,305
P/Liability	592,969	831,859	-28.72%	729,074
Misc Accident	3,043,222	2,592,567	17.38%	7,489,024
Bonds/Guarantee	1,699,930	1,234,385	37.71%	4,060,419
H/Purchase	420,382	100,582	317.95%	1,038,863
Hail	4,023,220	3,446,072	16.75%	3,211,239
Health	3,905	0	0.00%	7,901
Farming	1,665,980	418,485	298.10%	5,290,260
Total	**55,452,072**	**37,976,834**	**46.02%**	**117,313,795**

The dominant classes of business continued to be motor and fire insurance, which accounted for 61% of the business written in the period under review. There was strong performance in marine, aviation, hire purchase and farming classes of business for the period under review, which surpassed the previous year's first quarter figures by more than 250%. Marine insurance business written in the first quarter of 2011 is 84% of that which was concluded for 2011. This was a positive indication of an economy which is on the rebound.

However, there was under performance of 39.02% in engineering insurance business as compared to the 2010 first quarter position.

Distribution of Business



3.2. Earnings

The sector posted first quarter profits of $5.19 million against $2.91 million recorded during the corresponding period in the previous year which is an improvement of 78%. The profits are attributed to increase in written business and decrease in the combined ratio by 14 percentage points from 99.7% in the previous quarter to 85%. However, $790 000, which is 15% of the recorded profit in the period under review is traced to negative net claims reported by two players in the market. The Commission has already initiated investigations into these transactions, given the implication on the solvency positions of the concerned players.

3.3. Capitalization

All players except for two met the required minimum capital of $300 000. See figure 2. The industry was capitalized to the tune of $42.8 million. This was an overall improvement in capitalization of direct short term insurers of 17% from shareholders equity of $36.53 million as at 31 December 2010.

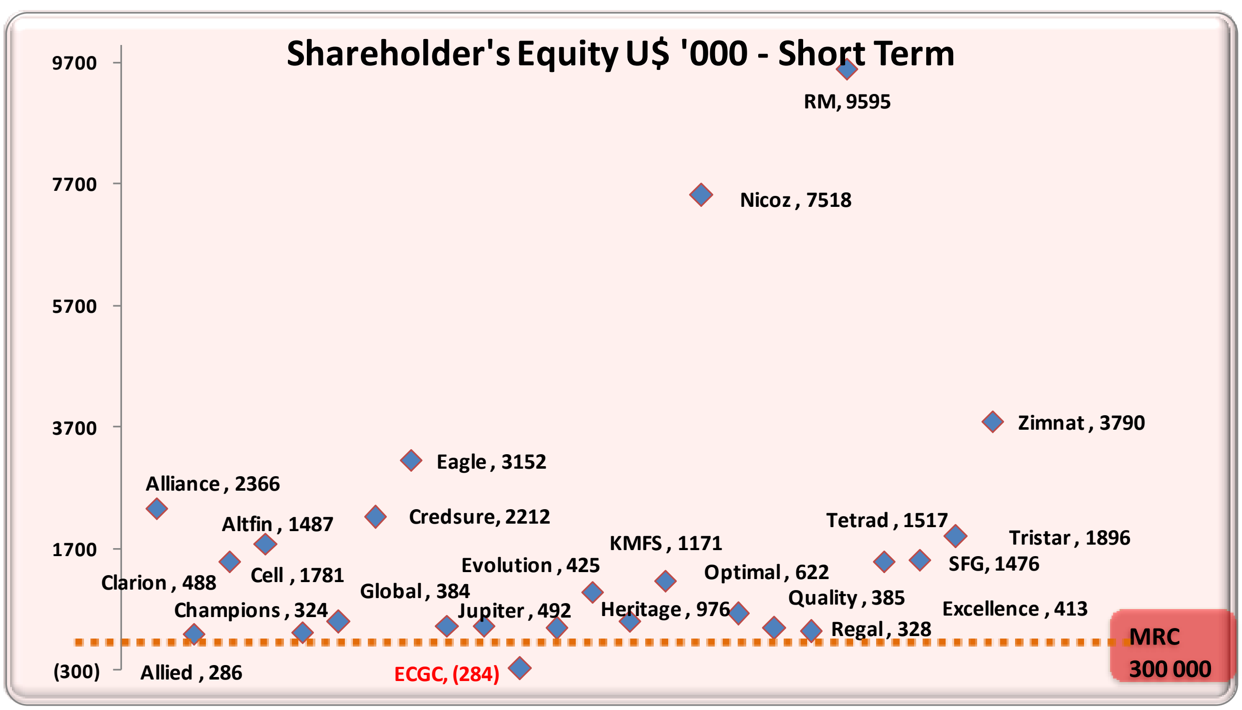
It is however conspicuous that revaluation and other reserves continue to be a significant component of the shareholders equity. As at 31 December 2010, the reserves constituted 39% of shareholders equity compared to 36% at the close of the quarter under review. Whilst this was a percentage decrease in the ratio, in absolute terms this balance sheet item increased by $1 million.

The Commission, during the third quarter is going to conduct an extensive on-site capital verification exercise across the entire insurance industry. The objective of the exercise, among other things, will be to authenticate reported capital figures, assess reasonability of revaluations and check on compliance by insurance companies to requirements of the Companies Act to state authorized capital in US Dollars.

Currently, the Commission is investigating ECGC to determine the source and extent of its solvency challenges.

Tristar Insurance Company and FMRE Property and two other AFRE subsidiaries registered in terms of the Insurance Act are being investigated to determine, among other things, their financial soundness. This is in view of the intercompany transactions involving these entities.

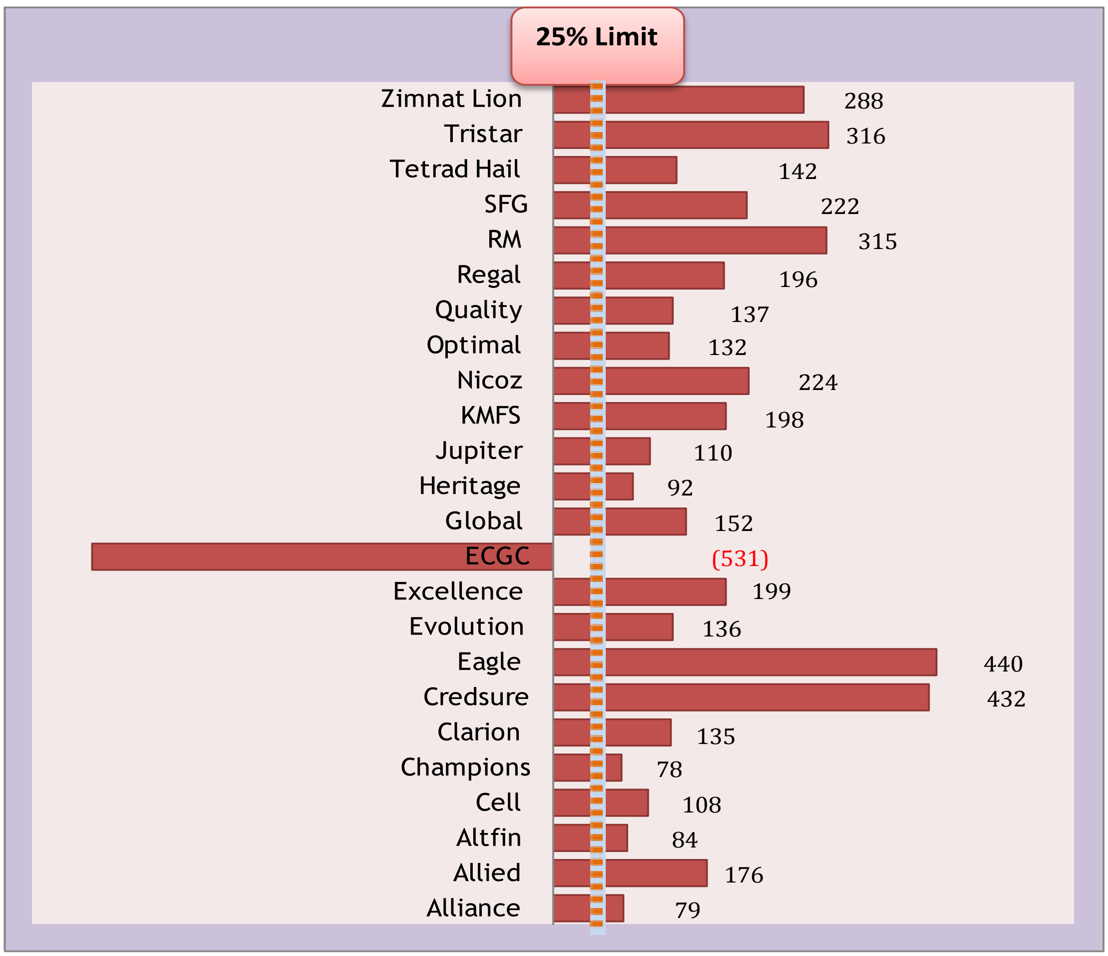
Figure 2 : Capital Levels



The industry's solvency ratio of 190% as at the end of the quarter under review was a marked improvement of 133 percentage points from the average of 57% recorded as at 31 December 2010. Only one institution was technically insolvent reporting a solvency ratio below the internationally accepted benchmark of 40%.

Improvement in solvency was a result of a combination of increased profitability, capital injections and reduction in the retention ratios by the industry's player.

Figure 3: Solvency Ratios



3.4. Asset Quality

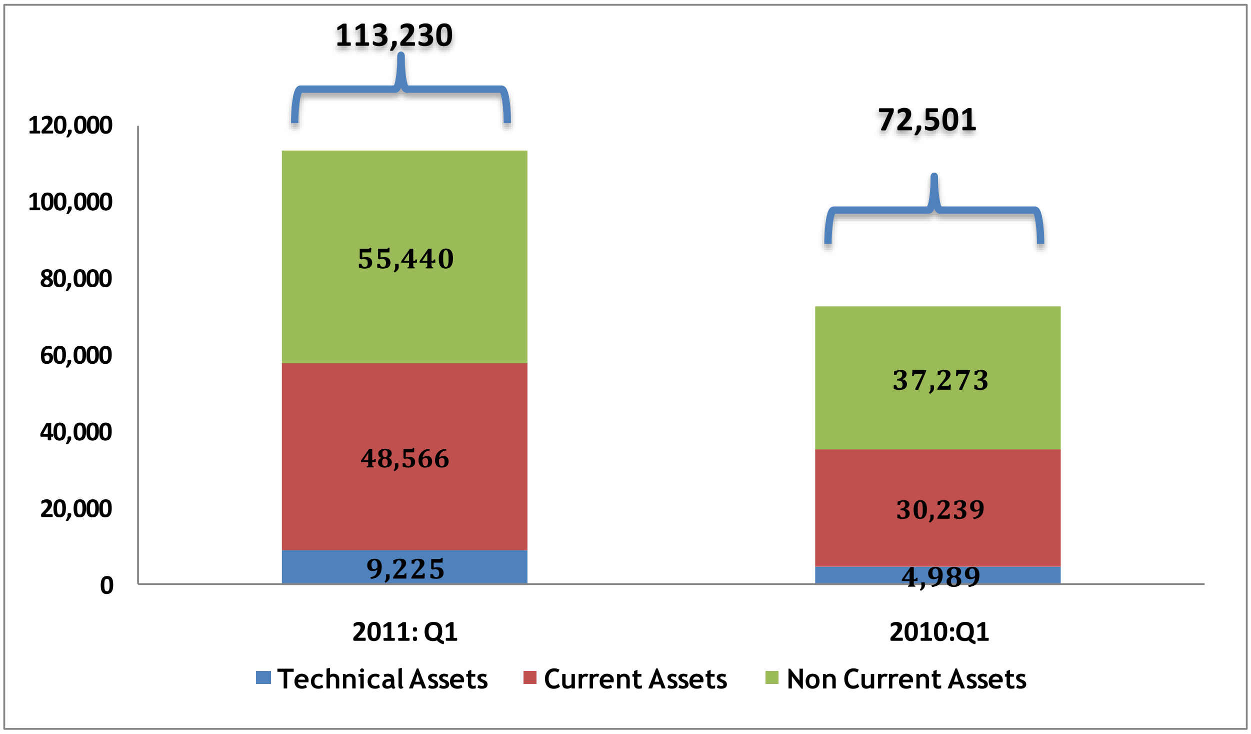
The asset base of the short term direct insurers continued to strengthen. Total assets were $113.23 million as at 31 March 2011, reflecting a growth of 56% and 27% from the position as at 31 March 2010 and 31 December 2010 respectively.

There was a shift in the distribution of the assets from non-current towards current assets. The ratio of non-current assets decreased from 58% as at 31 December 2010 to 49% as at 31 March 2011, the percentage of current assets increased to 43% from 36% and technical asset gained two percentage points to 8% respectively during the same period.

Premium receivables constituted 63% of total current assets down from 66%, though in absolute terms the figure increased by $10 million from $20 million as at the end of previous quarter to $30 million as at 31 March 2011.

The Commission, with effect from June 2011 is introducing a monthly activity return as one way of measuring and monitoring liquidity risk in the market. Liquidity risk is inherently high on account of lack of viable short term investment instruments within the financial sector.

Figure 4: Assets Composition of Short-Term Insurers ('000)



3.5. Market Share for Short-Term Insurers

The market continued to be dominated by a few players with top 8 insurers accounting for 73% of total GWP. The average GWP for the industry for the period under review was $2.06 million dollars. Refer to figure 5.

Figure 5: Market Share - GPW and NPW

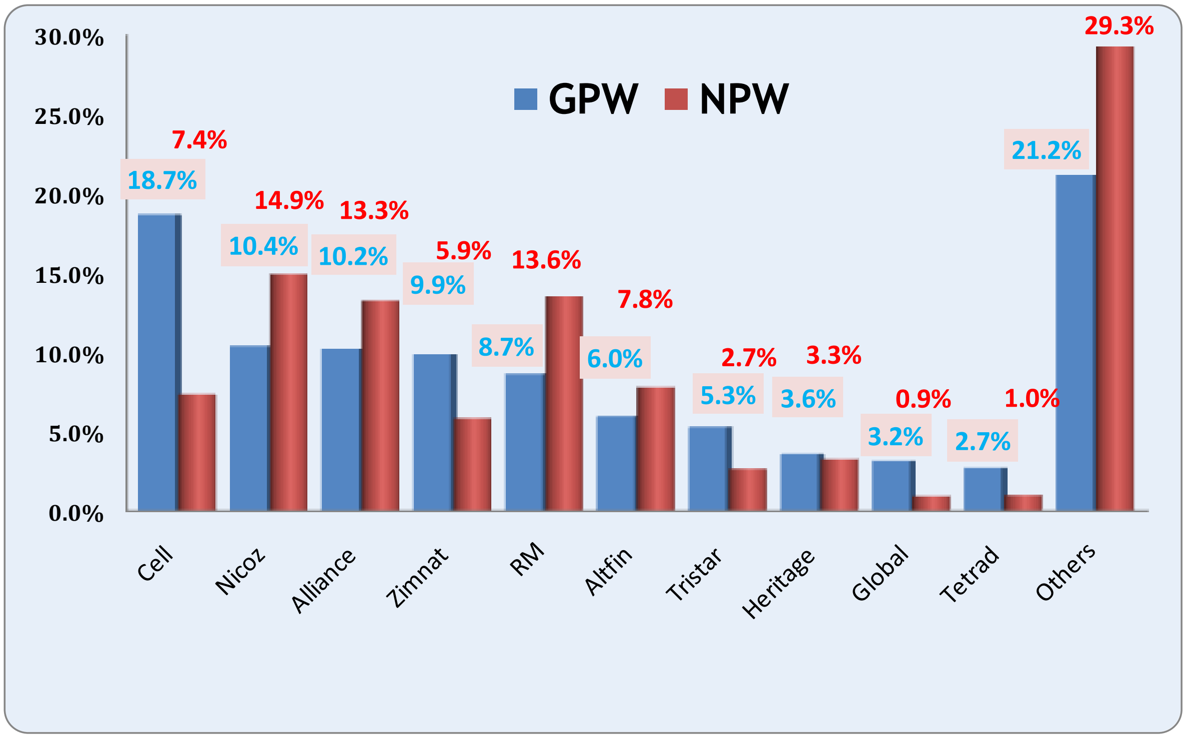
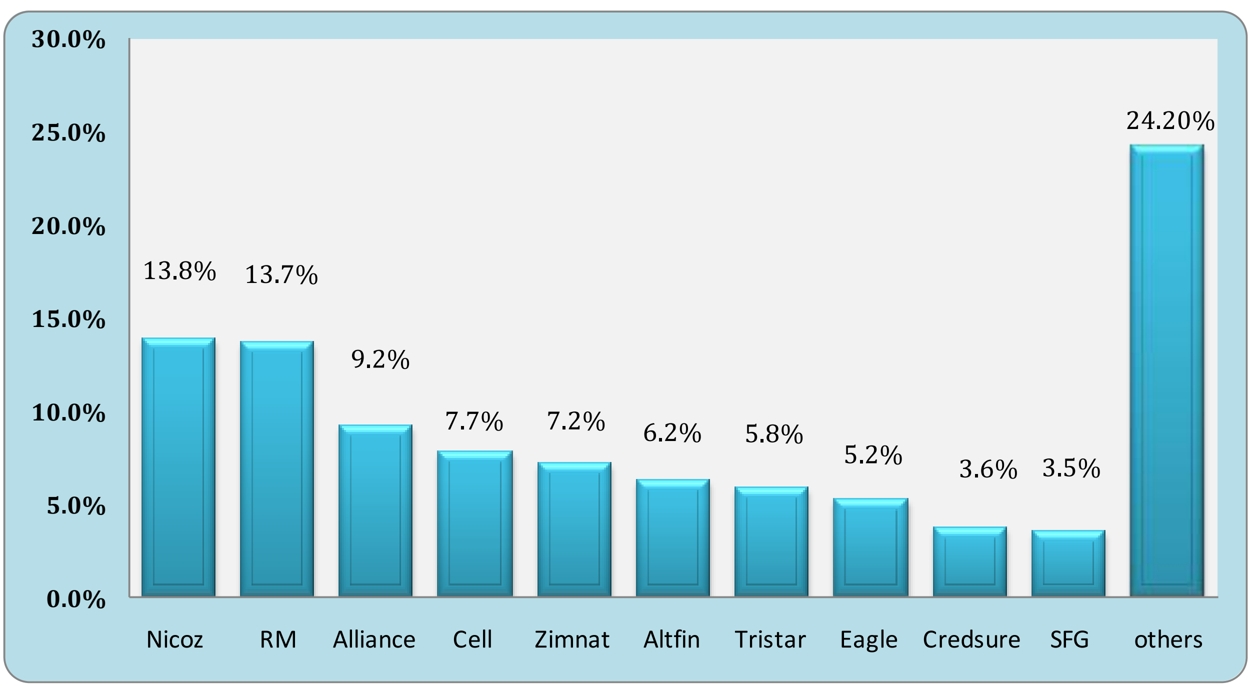


Figure 6: Market Share In Terms of Assets



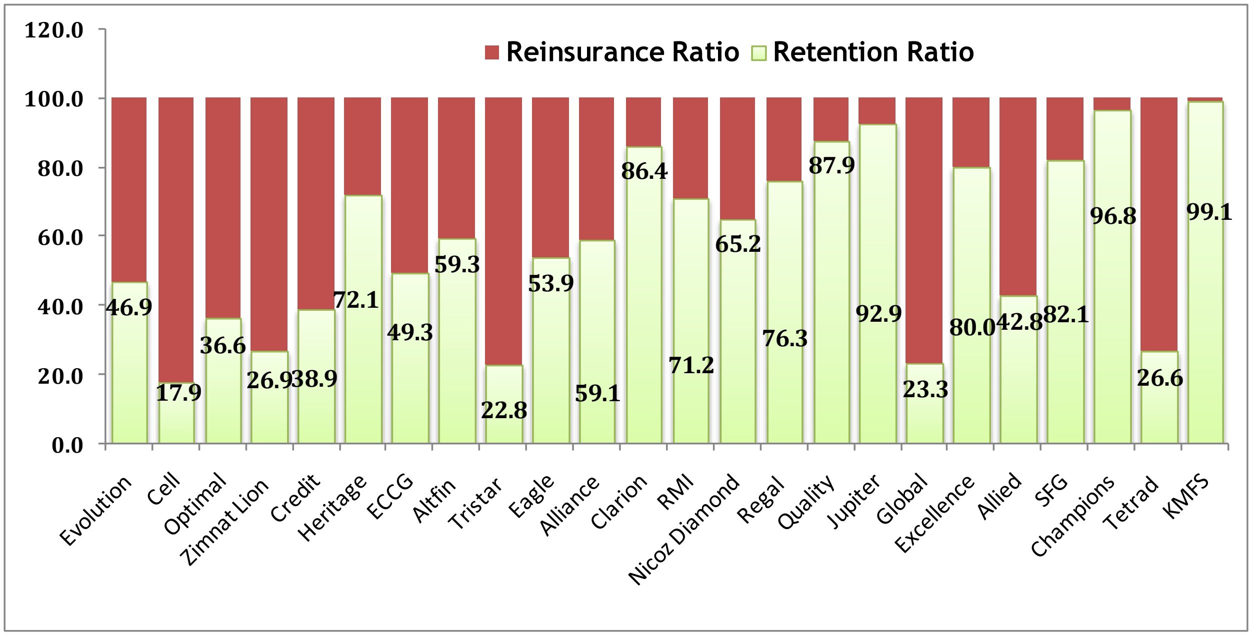
The oligopolistic nature of the market is confirmed by asset based distribution. Of the total asset base 86% of it is accounted for by one third of the insurers. It is important to note that the mix of the top players ranked in terms GPW, NPW and assets is not necessarily the same. This reflects different retention policies and asset bases of the various players in the sector. Refer to figure 5 and 6 for comparison

3.6. Reinsurance

The average retention ratio for the short term direct insurers was 45.5%, a decrease from 54.6% in the previous quarter. The decrease is explained by deliberate prudence strategy adopted by some of the insurers, who opted to manage solvency through reduction in their risk retention.

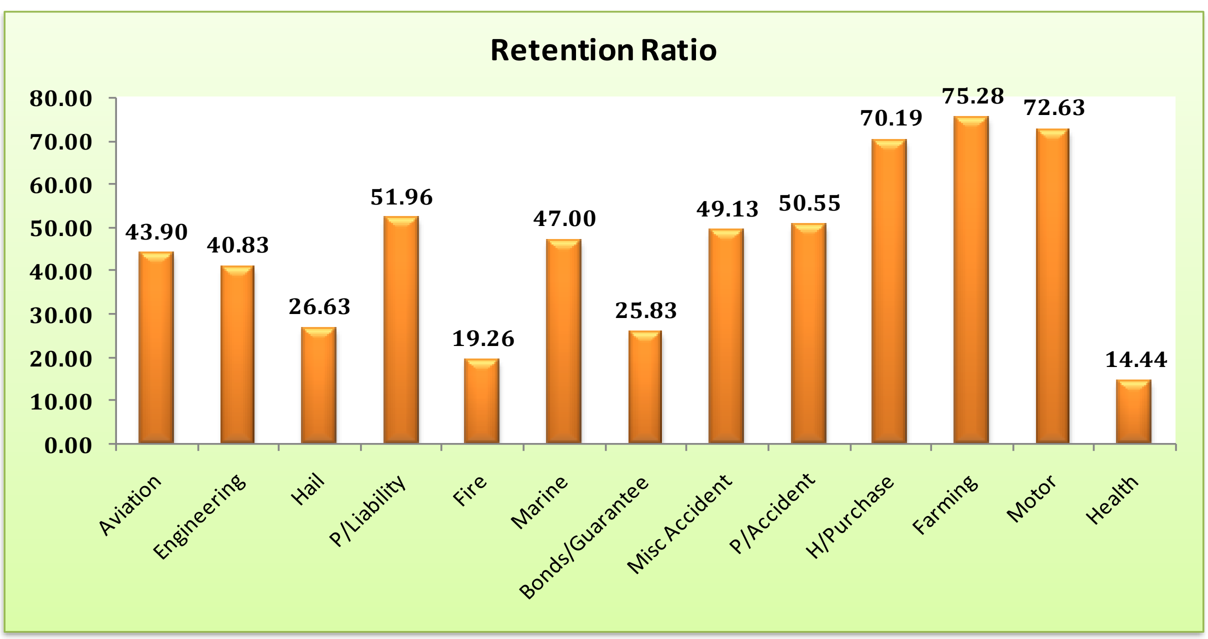
It is however of concern that most of the insurers with lower capital levels continued to carry high risk on their books. In the majority of the cases are retaining more than 70% of risk. Figure 5 indicates that whilst the insurers ranked eleven and upwards had a total market share of 21.2% in terms of GWP, their share in terms of NWP was 29.3%. This reflects a relatively higher risk appetite this lower end of the market. This presents a situation which the Commission will seek to closely monitor on a continuous basis.

Figure7: Reinsurance/Retention for Short Term Companies



The preference of short term direct insurers for retention of relatively high risk in farming, motor and hire purchase insurance, whose retention ratios were above 70% is reflected in figure 8 below.

Figure 8: Retention by Class



APENDIX A: PERFOMANCE INDICATOR FOR DIRECT INSURERS US$('000)	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	ECGC	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
GPW	**5,054**	**381**	**2,967**	**9,253**	**429**	**419**	**1,314**	**1,330**	**666**	**260**	**108**	**1,085**	**1,478**	**480**	**596**	**5,155**	**1,289**	**321**	**220**	**4,282**	**810**	**4,007**	**2,627**	**4,893**	**49,424**
Reinsurance	2,069	218	1,207	7,596	14	57	802	613	354	52	55	833	412	34	5	1,794	817	39	52	1,232	145	2,940	2,027	3,576	**26,943**
NWP	**2,985**	**163**	**1,760**	**1,656**	**415**	**362**	**512**	**717**	**312**	**208**	**53**	**253**	**1,066**	**446**	**591**	**3,361**	**471**	**282**	**168**	**3,050**	**665**	**1,067**	**600**	**1,317**	**22,481**
NEP	**2,690**	**253**	**1,221**	**783**	**335**	**288**	**348**	**501**	**253**	**182**	**64**	**178**	**870**	**422**	**591**	**2,976**	**378**	**159**	**141**	**2,330**	**1,158**	**1,067**	**823**	**989**	**19,001**
Net Incurred Claims	1,745	74	721	604	82	62	34	239	(145)	65	(646)	73	26	293	19	1,370	146	45	5	1,146	382	1,270	177	396	8,183
Net Commission Incurred	318	(35)	211	(119)	37	28	(89)	(56)	(0)	21	0	16	121	47	0	517	(49)	52	0	341	69	(564)	11	(47)	831
Technical Result	**686**	**30**	**371**	**452**	**200**	**197**	**420**	**317**	**108**	**140**	**711**	**113**	**748**	**82**	**572**	**1,168**	**258**	**62**	**137**	**987**	**734**	**362**	**1,011**	**640**	**10,504**
Operating Expenses	474	120	446	389	101	186	240	472	69	35	69	108	213	122	94	907	247	119	136	600	405	242	769	600	7,166
Underwriting Result	**212**	**(90)**	**(75)**	**63**	**99**	**11**	**180**	**(155)**	**39**	**105**	**641**	**5**	**535**	**(40)**	**477**	**261**	**11**	**(57)**	**0**	**387**	**329**	**119**	**242**	**40**	**3,338**
Investment																									
Investment Income	13	0	77	44	23	75	14	0	2	24	1	9	0	0	23	109	9	1	0	0	0	0	47	22	494
Unrealised Gains/Losses	0	0	50	9	0	0	0	40	(0)	0	0	1	0	0	0	(262)	13	39	0	287	0	0	591	0	769
Other Income	63	187	0	0	12	0	7	13	0	0	2	0	0	0	0	0	2	0	0	69	0	111	(5)	18	478
Profit Before Tax	**288**	**97**	**52**	**117**	**106**	**86**	**200**	**(103)**	**41**	**129**	**645**	**5**	**535**	**(40)**	**500**	**203**	**35**	**(17)**	**0**	**743**	**386**	**231**	**875**	**80**	**5,192**
Key Ratios																									
Market Share % on GWP	10.2%	0.8%	6.0%	18.7%	0.9%	0.8%	2.7%	2.7%	1.3%	0.5%	0.2%	2.2%	3.0%	1.0%	1.2%	10.4%	2.6%	0.6%	0.4%	8.7%	1.6%	8.1%	5.3%	9.9%	100.0%
Market Share % on NWP	13.3%	0.7%	7.8%	7.4%	1.8%	1.6%	2.3%	3.2%	1.4%	0.9%	0.2%	1.1%	4.7%	2.0%	2.6%	15.0%	2.1%	1.3%	0.7%	13.6%	3.0%	4.7%	2.7%	5.9%	100.0%
Retention Ratio	59.1%	42.8%	59.3%	17.9%	96.8%	86.4%	38.9%	53.9%	46.9%	80.0%	49.3%	23.3%	72.1%	92.9%	99.1%	65.2%	36.6%	87.9%	76.3%	71.2%	82.1%	26.6%	22.8%	26.9%	45.5%
NEP/ NWP	**90.1%**	**155.4%**	**69.4%**	**47.3%**	**80.7%**	**79.5%**	**68.0%**	**69.8%**	**81.0%**	**87.6%**	**120.8%**	**70.5%**	**81.7%**	**94.7%**	**100.0%**	**88.5%**	**80.3%**	**56.4%**	**84.0%**	**76.4%**	**174.1%**	**100.0%**	**137.1%**	**75.1%**	**84.5%**
Net Claims Incurred Ratio	64.9%	29.1%	59.0%	77.1%	24.4%	21.7%	9.7%	47.8%	-57.1%	35.6%	-1002.7%	41.0%	3.0%	69.5%	3.3%	46.0%	38.6%	28.3%	3.2%	49.2%	33.0%	119.0%	21.5%	40.1%	43.1%
Net Commission Ratio	11.8%	-13.7%	17.3%	-15.1%	11.1%	9.9%	-25.6%	-11.1%	-0.1%	11.4%	0.0%	9.1%	13.9%	11.1%	0.0%	17.4%	-13.0%	32.7%	0.0%	14.6%	6.0%	-52.8%	1.3%	-4.8%	4.4%
Net Expense Ratio	17.6%	47.4%	36.5%	49.6%	30.2%	64.7%	69.0%	94.3%	27.4%	19.4%	107.6%	60.8%	24.5%	28.9%	16.0%	30.5%	65.2%	74.8%	96.7%	25.7%	35.0%	22.7%	93.5%	60.6%	37.7%
Combined Ratio	94.3%	62.8%	112.9%	111.6%	65.8%	96.3%	53.1%	131.0%	-29.7%	66.4%	-895.2%	110.9%	41.4%	109.5%	19.2%	93.9%	90.8%	135.8%	99.9%	89.6%	74.0%	88.8%	116.3%	95.9%	85.2%
Underwriting Margin	**5.7%**	**37.2%**	**-12.9%**	**-11.6%**	**34.2%**	**3.7%**	**46.9%**	**-31.0%**	**129.7%**	**33.6%**	**995.2%**	**-10.9%**	**58.6%**	**-9.5%**	**80.8%**	**6.1%**	**9.2%**	**-35.8%**	**0.1%**	**10.4%**	**26.0%**	**11.2%**	**-16.3%**	**4.1%**	**14.8%**

Statement of Financial Position For Direct Insurers US$'000

	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	ECGC	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
ASSETS																									
Non-Current Assets																									
Fixed Assets	513	173	366	658	236	246	1,978	4,015	201	272	419	300	878	291	77	2,330	456	264	345	1,911	895	0	448	2,574	19,845
Investments	1,890	137	1,601	1,247	518	501	473	258	72	7	44	304	482	193	745	7,369	231	425	1	10,583	283	1,631	4,341	2,260	35,595
	2,403	**310**	**1,967**	**1,905**	**754**	**746**	**2,451**	**4,273**	**273**	**279**	**463**	**604**	**1,360**	**484**	**821**	**9,699**	**687**	**689**	**347**	**12,494**	**1,178**	**1,631**	**4,789**	**4,833**	**55,440**
Technical Assets																									
Reinsurers' Share of O/S Claims	112	0	460	0	0	0	0	54	18	23	0	0	0	0	0	0	1,187	0	0	152	258	3,044	0	0	5,309
Unearned Commision Reserve	734	0	585	159	101	0	0	208	160	5	0	78	124	0	0	479	195	0	0	497	145	0	84	363	3,916
	846	0	1,045	159	101	0	0	262	178	28	0	78	124	0	0	479	1,382	0	0	649	403	3,044	84	363	**9,225**
Current Assets																									
Premium Receivables	3,499	468	3,045	1,713	433	652	1,586	1,112	777	2	218	140	999	192	658	4,791	790	85	238	639	1,834	2,425	1,562	2,764	30,622
Other Debtors & Inventory	3,378	19	611	723	11	0	0	90	459	17	12	44	378	0	15	90	258	0	0	1,376	142	571	41	122	8,358
Accrued Investment income	0	0	0	0	0	0	0	0	0	0	0	0	0	0	30	130	0	0	0	45	0	0	0	0	205
Cash & cash equivalents	271	54	341	4,222	272	100	88	113	165	258	29	18	85	16	9	443	676	53	56	263	91	1,640	80	37	9,381
	7,148	541	3,997	6,658	717	752	1,674	1,315	1,401	277	259	202	1,461	208	713	5,454	1,725	138	294	2,323	2,067	4,636	1,682	2,922	48,566
TOTAL ASSETS	**10,397**	**851**	**7,009**	**8,722**	**1,571**	**1,498**	**4,125**	**5,851**	**1,852**	**584**	**722**	**884**	**2,945**	**693**	**1,535**	**15,632**	**3,793**	**827**	**641**	**15,466**	**3,648**	**9,311**	**6,556**	**8,118**	**113,230**
LIABILITIES																									
Deferred Tax Liabilities	0	0	81	58	0	17	417	280	17	42	0	3	0	0	137	1,254	0	5	9	963	54	90	177	172	3,776
Long Term loan	0	0	0	0	0	0	7	250	0	0	0	0	0	0	0	0	0	0	0	0	136	0	0	0	393
Current Tax provisions	74	54	26	22	164	28	355	(258)	74	34	0	1	60	0	227	(66)	0	20	23	405	102	676	0	(39)	1,982
Gross Outstanding Claims	999	0	1,183	0	0	0	0	432	44	8	0	42	162	0	0	971	434	0	0	0	0	4,144	0	602	9,021
IBNR	1,165	185	0	920	40	0	0	0	156	0	695	0	0	153	0	0	0	18	16	1,237	391	0	523	0	5,498
UPR	3,668	0	2,265	0	781	457	0	1,131	350	26	0	253	988	0	0	2,433	1,904	0	0	0	0	0	1,257	1,293	16,805
Unearned Premium	0	113	0	1,752	137	0	0	0	0	0	66	0	0	32	0	0	0	367	27	2,486	550	0	0	0	5,530
Reinsurance & Other Creditors	2,125	202	1,779	4,189	47	0	1,135	452	761	17	244	68	757	0	0	1,943	522	25	106	0	699	2,828	2,638	1,858	22,396
Other Creditors	0	11	188	0	79	509	0	412	26	44	0	133	0	16	0	1,579	311	7	132	780	240	56	65	442	5,029
TOTAL LIABILITIES	**8,031**	**565**	**5,522**	**6,942**	**1,247**	**1,011**	**1,913**	**2,699**	**1,427**	**171**	**1,006**	**500**	**1,968**	**200**	**363**	**8,114**	**3,171**	**442**	**312**	**5,871**	**2,172**	**7,794**	**4,660**	**4,328**	**70,430**
SHAREHOLDERS' EQUITY																									
Share Capital	301	14	300	620	380	300	2	423	120	320	200	33	500	238	1,000	2,797	50	120	300	9	304	0	2,000	553	10,884
Share Premium	0	286	625	0	0	0	455	0	0	0	0	294	0	0	0	3,184	531	0	0	0	801	1,000	0	1,000	8,176
Revaluation & Other Reserves	1,141	0	422	898	10	111	1,423	4,399	7	167	239	0	177	245	171	0	0	49	19	3,251	298	335	388	1,604	15,353
Retained Profit	924	(14)	140	262	(66)	76	332	(1,670)	297	(74)	(723)	58	299	10	0	1,537	41	216	9	6,334	74	182	(492)	634	8,388
Shareholders's Equity	**2,366**	**286**	**1,487**	**1,781**	**324**	**488**	**2,212**	**3,152**	**425**	**413**	**(284)**	**384**	**976**	**492**	**1,171**	**7,518**	**622**	**385**	**328**	**9,595**	**1,476**	**1,517**	**1,896**	**3,790**	**42,800**
																									0
TOTAL EQUITY & LIABILITIES	**10,397**	**851**	**7,009**	**8,722**	**1,571**	**1,498**	**4,125**	**5,851**	**1,852**	**584**	**722**	**884**	**2,945**	**693**	**1,535**	**15,632**	**3,793**	**827**	**641**	**15,466**	**3,648**	**9,311**	**6,556**	**8,118**	**113,230**
Key Ratios																									
Shareholders' Equity / NWP	**79.3%**	**175.5%**	**84.5%**	**107.5%**	**77.9%**	**134.6%**	**432.4%**	**439.7%**	**135.9%**	**198.5%**	**-531.4%**	**152.2%**	**91.6%**	**110.4%**	**198.2%**	**223.7%**	**132.0%**	**136.5%**	**195.5%**	**314.5%**	**221.9%**	**142.1%**	**315.9%**	**287.7%**	**190.4%**
% of Debtors / Total Assets	33.7%	55.0%	43.4%	19.6%	27.6%	43.5%	38.5%	19.0%	42.0%	0.3%	30.2%	15.8%	33.9%	27.7%	42.9%	30.6%	20.8%	10.3%	37.2%	4.1%	50.3%	26.0%	23.8%	34.0%	27.0%
% of Investments / Total Assets	18.2%	16.2%	22.8%	14.3%	33.0%	33.4%	11.5%	4.4%	3.9%	1.2%	6.1%	34.4%	16.4%	27.8%	48.5%	47.1%	6.1%	51.4%	0.2%	68.4%	7.8%	17.5%	66.2%	27.8%	31.4%

SECTION B

4. Reinsurance Companies

4.1. Performance Overview

The number of registered short term reinsurers remained at 8. However this was two less from the 10 which operated during the first quarter of 2010, after de-registration of Capland Re and Rhino Re for failure to meet the minimum capital requirement of $400 000.

The GWP by the reinsurers remained almost the same at $18.90 million as in previous year`s first quarter. This amount of written business is inconsistent with reported reinsured business of $26.94 million reported by short-term direct insurers. The Commission is investigating this discrepancy of $8.06 million, in order to reconcile business ceded by the direct insurers and that GWP of reinsurers during the quarter under review.

However, this as it may be, reinsurers reported an increase in profit before tax of 240% from $1.39 million to $4.73 million. This was a result of a decrease in net claims incurred from $2.58 million to $1.03 million and management expenses from $3.83 million to $2.67 million. If this trend continues the negative results reported for the year 2010 will be reversed.

Table 4: Performance Indicators

	Q1: 2011	Q1:2010	Yearly % Change	Q4 2010
Gross Premium Written	18,885*	18,895	-0.05%	50,094
Net Premium Written	12,164	13,734	-11.43%	31,888
Net Earned Premium	9,023	10,125	-10.89%	30,484
Net Claims Incurred	1,028	2,577	-60.09%	11,870
Net Commission Incurred	2,673	3,290	-18.74%	8,251
Management Expenses	2,617	3,825	-31.58%	14,071
Underwriting Profit	3,224	1,213	165.80%	-3,522
Investment Income	253	462	-45.20%	700
Profit Before Tax	4,725	1,391	239.70%	-3,999

*The $8 million discrepancy between this figure and $26,9 million reported as reinsured by direct insurers during the quarter

4.2. Composition of Gross Premium Written

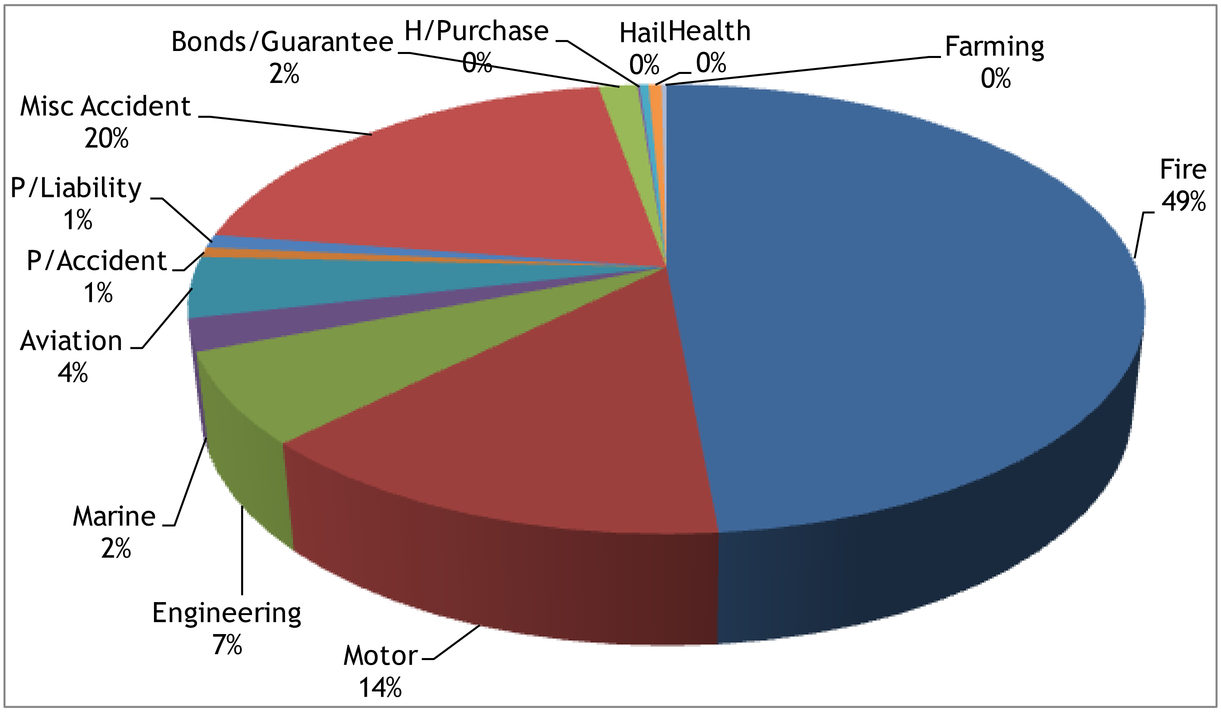
The business of reinsurers continued to be predominantly fire, miscellaneous accident and motor insurance, constituting 82,1% of the GPW by reinsurers in the quarter under review. Fire insurance accounted for 44,8%, miscellaneous accident 19,76% and motor 13,92% respectively.

Comparison of business composition between direct insurers and reinsurers (compare figure 1 and 9) reflects that the direct insurers continued to have a high risk retention appetite for motor than fire insurance. Significant growth was recorded in hail insurance, which increased by 10 fold as compared to the first quarter 2010 position.

Table 4: Gross Written Premiums by Class of Business

Contribution by Class	Q1: 2011	Q1:2010	Yearly% Change	Q4: 2010
Fire	9,170,280	8,074,646	13.57%	18,670,941
Motor	2,635,199	2,993,362	-11.97%	7,437,198
Engineering	1,237,845	1,317,946	-6.08%	3,295,698
Marine	434,945	1,041,998	-58.26%	2,448,675
Aviation	829,433	827,774	0.20%	2,458,379
P/Accident	136,757	39,790	243.70%	185,388
P/Liability	180,584	176,705	2.20%	345,489
Misc Accident	3,742,018	3,108,196	20.39%	11,152,512
Bonds/Guarantee	295,522	266,142	11.04%	742,819
H/Purchase	18,056	0	0.00%	72,445
Hail	67,210	670	9931.34%	20,330
Health	99,780	581,725	-82.85%	1,534,510
Farming	37,205	466,318	-92.02%	1,729,562
Total	**18,884,834**	**18,895,272**	**-0.06%**	**50,093,946**

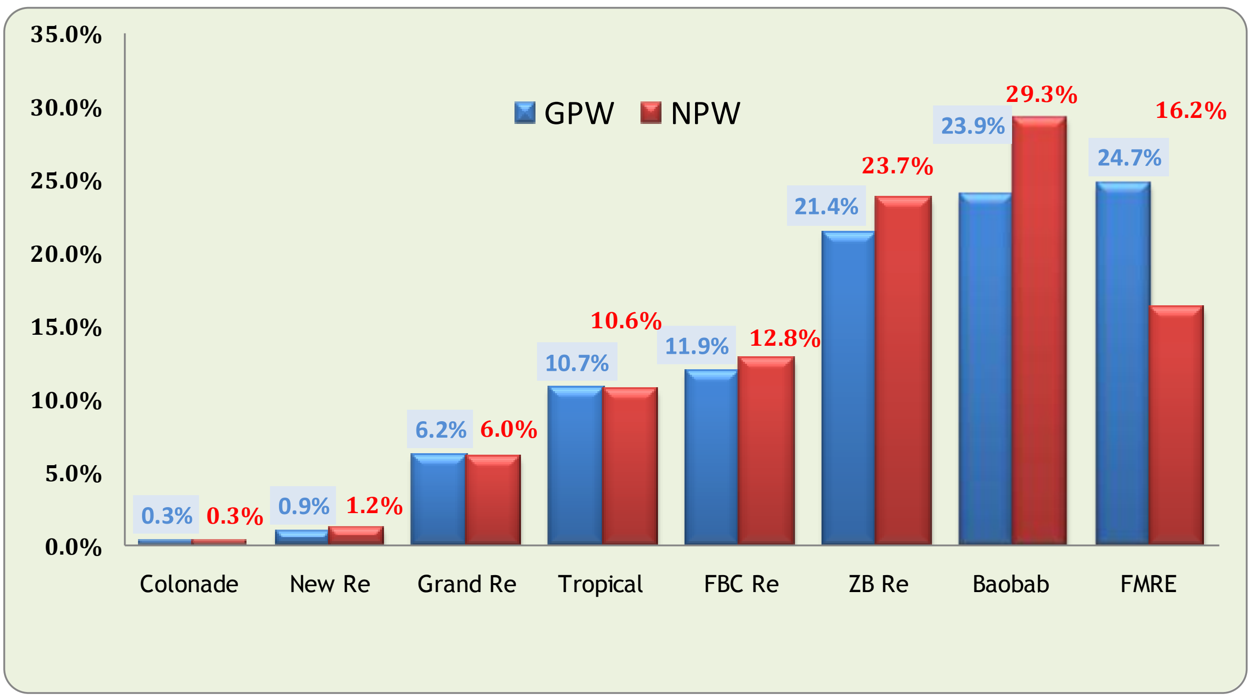
Figure 9: Distribution of Business



4.3. Market Share for Reinsurers

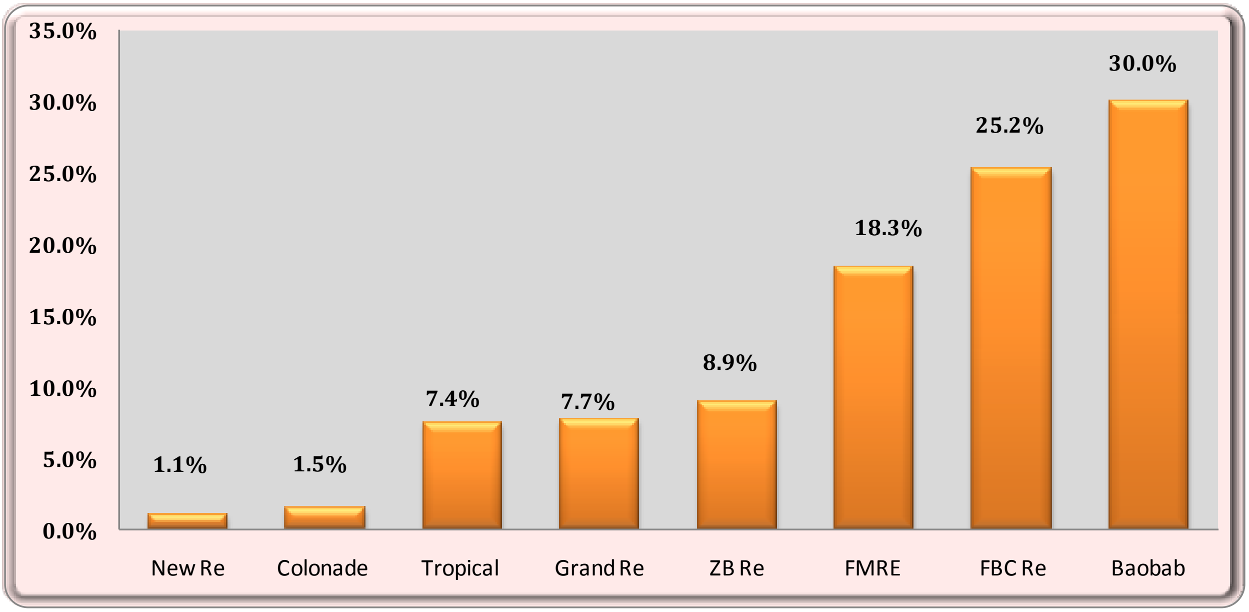
The market share rankings remained unchanged as reported at the end of the previous quarter. The top three reinsurers accounted for 70% and 69% of the total GPW and NPW for the period under review respectively.

Figure 10: Market share by GPW/NPW



Asset concentration remained high in the short term reinsurance industry with, 73% of total assets ($87.84) owned by 3 players as at 31 March 2011. However the share of the top three reinsurers fell by 6 percentage points from 79% reported in the previous quarter. The largest reinsurer commands 30% of the assets. See figure 11.

Figure 11: Market share by Asset distribution



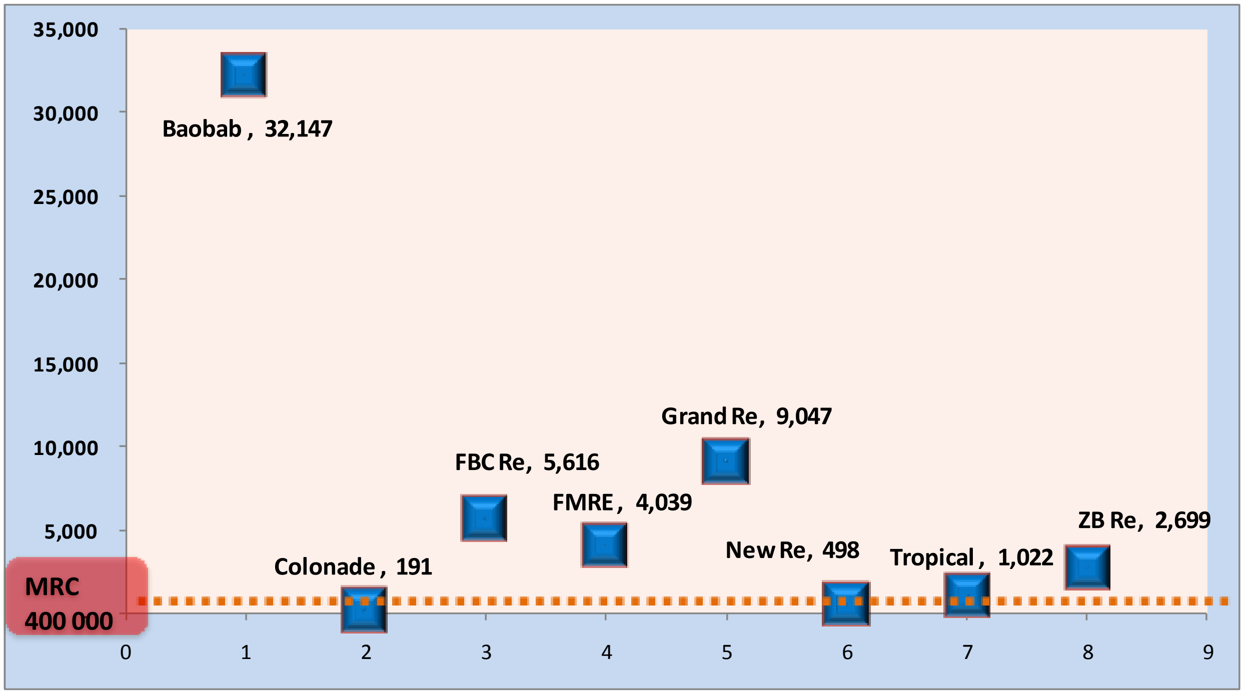
4.4. Capitalization

Total capitalization for the reinsurers was $55.26 million 31 March 2011, which was an improvement of 6.3% from the previous quarter position of US$52.02 million. Only one reinsurer closed the quarter with shareholders equity below the required minimum capital level. The overall increase in capitalization was attributed to mainly 3 players. Among the three there was capital injection, increase retained earnings and revaluation and other reserves.

The planned capital verification exercise during the course of the third quarter will also include reinsurers.

The intended increase of the minimum capital levels within the insurance industry is still on the cards.

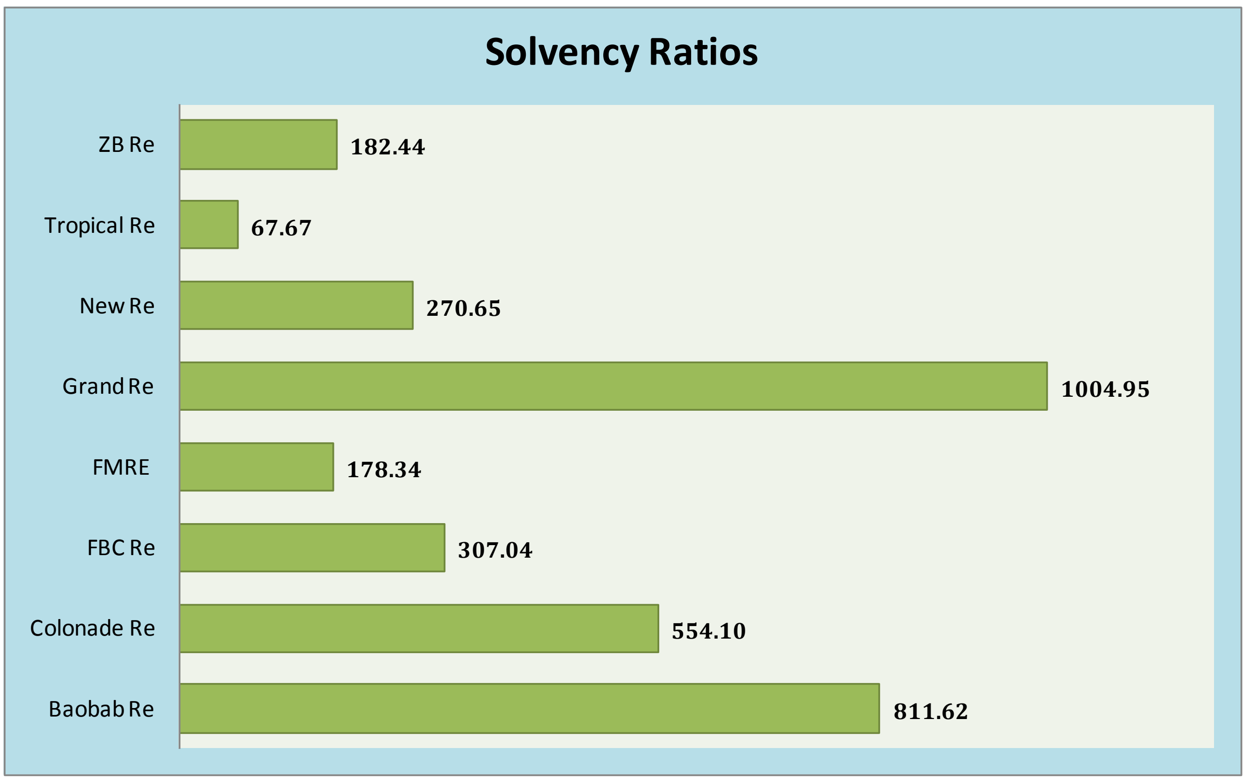
Figure 12: Shareholders Equity



4.5. Solvency

Though one of the reinsurers was in breach of the minimum capital levels, all players were above the internationally accepted solvency ratio of 40%. The industry average solvency ratio improved to 454%.

Figure 13: Solvency Ratios

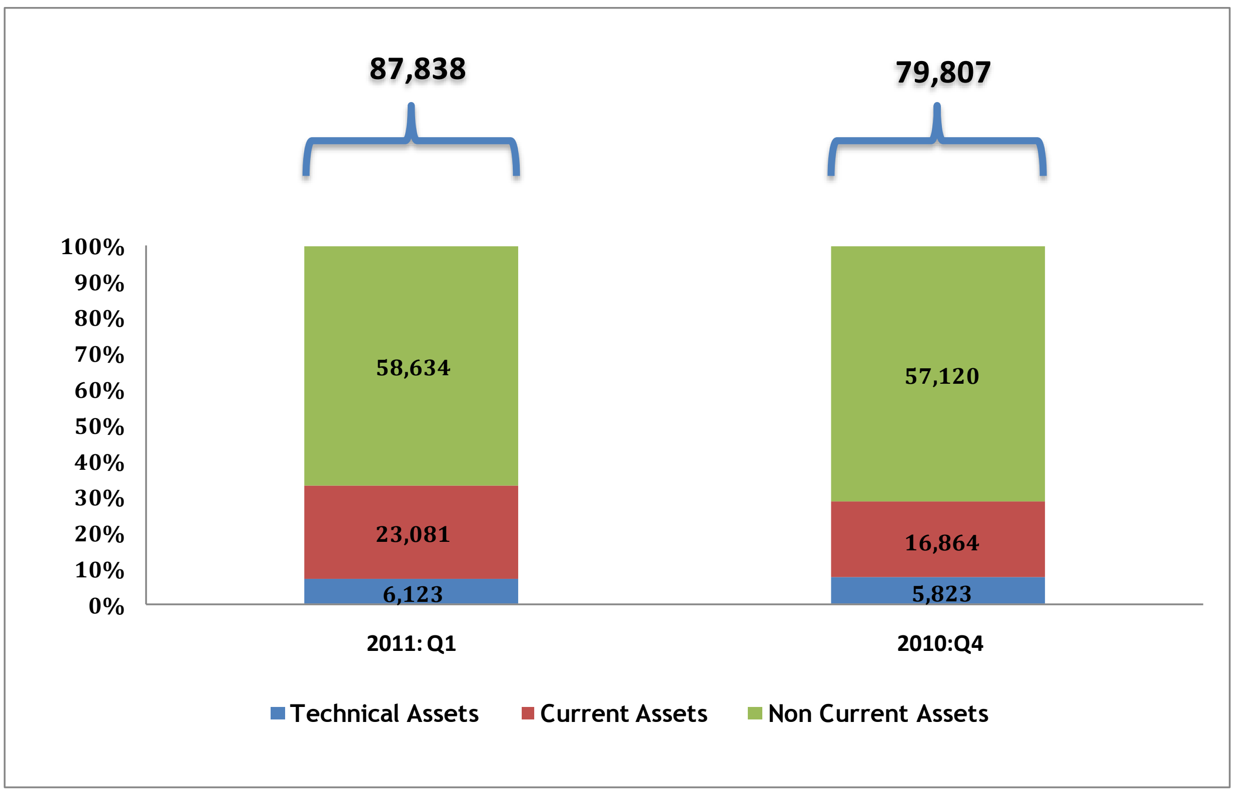


4.6. Asset Quality

The industry, as at 31 March 2011 had an asset base of $87.84 million. This was a 10% increase from figure as at 31 December 2010.

The assets remained skewed towards non-current assets, which constituted 63% of the total assets. This inherently heightens liquidity risks, thus generally constraining the ability of reinsurers to timeously meet their obligations as they fall due.

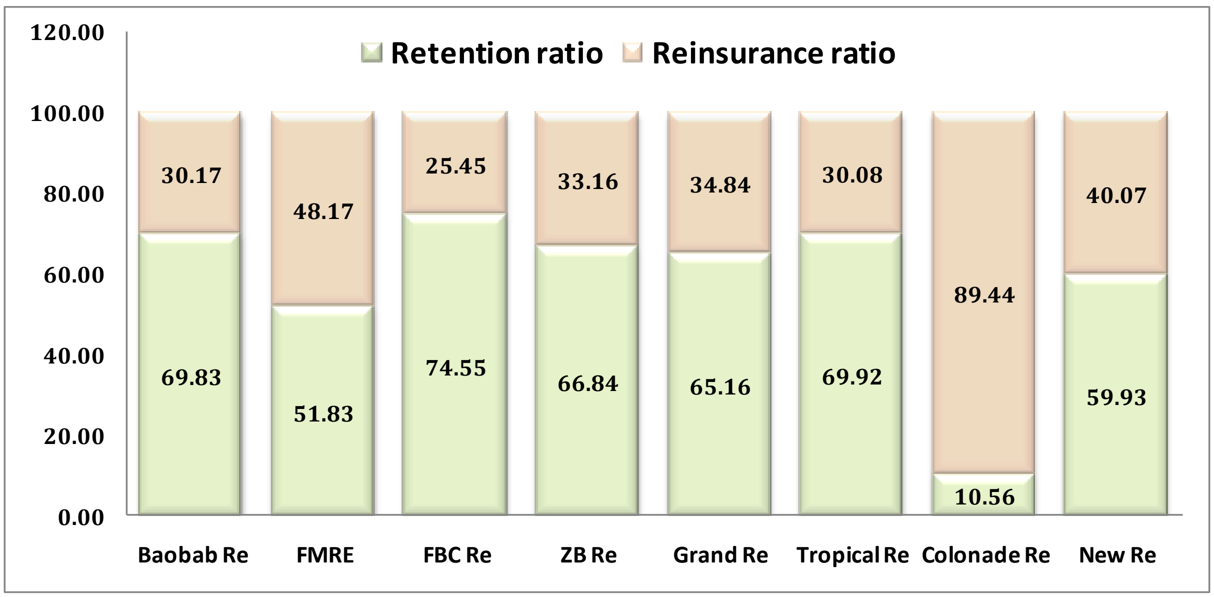
Figure 14: Assets of Reinsurers ('000)



4.7. Retention

The average retention for reinsurers was 64.4% for the period under review. The retention ratio ranged from 10.5% to 74.6% depicting various risk appetites among the reinsurers.

Figure 15: Retention/Retrocession



Appendix B: Statement of Income-Reinsurers U$ '000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
Gross Written Premiums	5,672	327	2,454	4,369	1,382	307	2,161	2,213	18,885
Reinsurance Premiums	1,712	292	625	2,105	481	123	650	734	6,721
Net Written Premiums	3,961	34	1,829	2,265	900	184	1,511	1,480	12,164
Net Earned Premiums	2,985	26	1,476	1,918	359	152	1,228	879	9,023
Net Incurred Claims	(196)	35	356	503	155	69	443	(336)	1,028
Net Commission Incurred	748	(4)	673	334	179	45	354	344	2,673
Technical Result	2,799	(5)	446	1,081	123	38	487	872	5,841
Operating Expenses	785	44	472	462	186	50	121	496	2,617
Underwriting Result	2,013	(49)	(26)	619	(63)	(12)	366	376	3,224
Investment									
Investment Income	0	0	140	49	(36)	0	43	57	253
Unrealised Gains/Losses	0	0	85	1,136	0	3	0	0	1,225
Other Income	0	0	1	(5)	0	0	0	0	(4)
Profit Before Tax	2,013	(49)	227	1,799	(99)	(9)	409	433	4,725
Key Ratios									
Market Share based on GWP	30.0%	1.7%	13.0%	23.1%	7.3%	1.6%	11.4%	11.7%	100.0%
Market Share based on NWP	32.6%	0.3%	15.0%	18.6%	7.4%	1.5%	12.4%	12.2%	100.0%
Retention Ratio	69.8%	10.6%	74.5%	51.8%	65.2%	59.9%	69.9%	66.8%	64.4%
NEP/ NPW	75.4%	75.7%	80.7%	84.7%	39.8%	82.6%	81.3%	59.4%	74.2%
Net Claims/NEP	-6.6%	132.9%	24.2%	26.2%	43.2%	45.4%	36.1%	-38.2%	11.4%
Net Commission Ratio	25.1%	-15.0%	45.6%	17.4%	49.8%	29.6%	28.9%	39.1%	29.6%
Net Expense Ratio	26.3%	170.5%	32.0%	24.1%	51.8%	32.9%	9.9%	56.3%	29.0%
Combined Ratio	44.8%	288.4%	101.8%	67.7%	144.8%	107.9%	74.8%	57.2%	70.0%
Underwriting Margin	55.2%	-188.4%	-1.8%	32.3%	-44.8%	-7.9%	25.2%	42.8%	30.0%

Statement of Financial Position-Reinsurers US$'000									
	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	1,447	0	304	177	155	186	195	705	3,168
Investments	30,742	190	6,040	6,620	8,947	415	1,128	1,384	55,466
	32,189	190	6,344	6,797	9,102	601	1,323	2,088	58,634
Technical Assets									
Reinsurers' Share of Outstanding (	0	0	3,373	0	420	0	0	0	3,793
Provision for Unearned Commissio	1,231	0	186	466	447	0	0	0	2,330
	1,231	0	3,559	466	867	0	0	0	6,123
Current Assets									
Premium Receivables	5,588	443	3,086	2,322	1,066	203	1,878	2,983	17,567
Other Debtors & Inventory	1,803	0	0	379	8	8	0	150	2,348
Accrued Investment income	0	0	0	2	0	0	57	0	58
Cash & cash equivalents	1,120	31	849	36	497	31	173	369	3,107
	8,511	474	3,934	2,739	1,571	242	2,107	3,502	23,081
TOTAL ASSETS	41,931	665	13,837	10,002	11,540	843	3,430	5,590	87,838
LIABILITIES									
Deferred Tax Liabilities	0	0	(817)	6	0	0	23	766	(22)
Current Tax provisions	875	0	59	0	0	0	0	(323)	611
Long term loan	0	0	0	0	300	0	0	0	300
IBNR	1,999	0	0	504	412	0	139	112	3,166
Gross Outstanding Claims	0	33	4,359	0	0	40	0	288	4,719
UPR	0	0	1,414	0	0	110	0	1,177	2,702
Unearned Premiums	3,284	0	0	2,067	1,339	0	1,090	0	7,780
Reinsurance & Other Creditors	2,641	441	3,205	3,385	349	195	1,155	871	12,243
Other Creditors	986	0	0	0	93	0	0	0	1,079
TOTAL LIABILITIES	9,785	474	8,220	5,963	2,493	345	2,408	2,891	32,578
SHAREHOLDERS' EQUITY									
Share Capital	400	300	600	1,500	400	400	227	5	3,832
Share Premium	23,972	0	2,203	1,504	0	0	0	495	28,174
Revaluation & Other Reserves	3,733	0	3,204	254	5,246	150	0	11	12,598
Retained Profit	4,041	(109)	(391)	781	3,401	(52)	795	2,189	10,655
Shareholders's Equity	32,147	191	5,616	4,039	9,047	498	1,022	2,699	55,259
TOTAL EQUITY & LIABILITIES	41,931	665	13,837	10,002	11,540	843	3,430	5,590	87,838
Key Ratios									
Shareholders' Equity / NWP	811.6%	554.1%	307.0%	178.3%	1004.9%	270.7%	67.7%	182.4%	454.3%
% of Debtors / Total Assets	13.3%	66.7%	22.3%	23.2%	9.2%	24.1%	54.7%	53.4%	20.0%
% of Investments / Total Assets	73.3%	28.7%	43.7%	66.2%	77.5%	49.2%	32.9%	24.8%	63.1%

5. NOTES

5.1. Deregistered short-term insurers over the last 12 months

- Millenial Insurance Company Limited
- Asset Boost Insurance (Private) Limited
- Brownstone Insurance Company (Pvt) Ltd
- Mercury Insurance Company (Pvt)Ltd

5.2. Registered inactive institutions

- Hamilton Insurance Company
- Agricultural Insurance Company
- Suremed Health Insurance company (changed name from Bateluer)
- Gallant Insurance Company – contested their deregistration case pending in the High Court